TEACHER GUIDE DRAFT

Junior Cycle Business Studies (NCCA)

# Cash flow and budgets



Strand 2: Enterprise
**2.11 Cash flow; 2.12 Cash account and budget;**
**Strand 1 · 1.12–1.13 Financial position**

A revision lesson. Pupils run a car dealership in firms of four and revise cash flow and budgets on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

45-minute setting

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Profit on this deal

Round 1

They pay you in 30 days.

**Profit on this deal?**

| | |
|---|---|
| Cars in the deal | **2 cars** |
| You buy them today, in total | **€28,000** |
| Prep and delivery, per car | **€300** |
| Customer pays in total | **€34,000** |

**ANSWER**

**€5,400**

€34,000 − €28,000 − 2 × €300 = €5,400

**Why:** €5,400 profit, but €28,600 is out of your cash for 30 days.

## 2 Improve cash flow

Round 1

Your bank balance is low. Customers take 60 days to pay you.

**Which two would improve your cash flow?**

- **A** Ask suppliers for longer to pay
- **B** Pay suppliers early for goodwill
- **C** Buy more cars now to sell later
- **D** Give customers 90 days to pay
- **E** Ask customers to pay sooner

**ANSWER**

**✓ Ask suppliers for longer to pay**
**✓ Ask customers to pay sooner**

**Why:** Cash comes in sooner or goes out later; the other three take cash out sooner.

## 3 Forecast in order

Round 2

You fill in next month's cash flow forecast.

**In what order do you work it out?**

- **A** It becomes next month's opening balance
- **B** Net cash flow: cash in minus cash out
- **C** Add it to the opening balance
- **D** That gives the closing balance

**ANSWER**

1. **Net cash flow: cash in minus cash out**
2. **Add it to the opening balance**
3. **That gives the closing balance**
4. **It becomes next month's opening balance**

**Why:** Net cash flow first; add the opening balance; the closing balance carries over.

# Topic tasks

## 4 Month-end balance

Round 2

A two-month deal.

**Balance at the end of month 1?**

| | |
|---|---|
| Set aside for this deal | **€25,000** |
| Month 1: you buy the cars | **€49,500** |
| Month 1: customer deposit | **€11,500** |
| Month 2: rest of the price | **€45,500** |

**ANSWER**

**−€13,000**

€25,000 − €49,500 + €11,500 = −€13,000

**Why:** Month 1 is short by €13,000. Month 2 brings €45,500.

## 5 Cash now or later

Round 3

Your bank balance is low. A taxi firm pays €30,000 today; a hire firm pays €31,000 in 90 days.

**Which deal should you take, and why?**

**A** The taxi firm: €30,000 today

**B** The hire firm: €31,000 in 90 days

**ANSWER**

**✔ The taxi firm: €30,000 today**

**Why:** With cash short, money today matters more than €1,000 more in 90 days.

## 6 Month-end balance

Round 3

They pay half in month 2.

**Balance at the end of month 2? Minus allowed.**

| | |
|---|---|
| Set aside for this deal | **€15,000** |
| Month 1: you buy the cars | **€42,000** |
| Running costs, each month | **€400** |
| Customer's price | **€53,000** |

**ANSWER**

**-€1,300**

€15,000 − €42,000 − 2 × €400 + €26,500 = −€1,300

**Why:** Month 2 is still short: the other half comes in month 3.

# Final questions

Each pupil answers 6 final questions. Pick the question topic “Cash, profit and VAT”: the 6 come from these 10 questions.

Then each pupil writes one short answer: “Explain one way your firm could avoid a cash shortage.”

1. You bought a used hatchback for €8,400 and sold it to a customer for €10,400. VAT is 23/123 of the margin. How much VAT does this sale leave to pay?
   ✔ **€374**

2. This round your firm sold three vehicles. The margins were €1,500, €3,300 and a loss of €600. How much VAT does the round's return ask for?
   ✔ **€897**

3. Your firm has sold cars this round but has not filed the VAT return yet. Where does the VAT you owe show?
   ✔ **As a debt in the net position until the return is filed and paid**

4. A customer pays your firm €12,000 for a car that cost you €9,800. Who pays the VAT on this sale to Revenue?
   ✔ **Your firm, out of the price it received, when it files the return**

5. You sold a van for €15,000 that cost €11,700. What is left of the margin after the VAT on this sale?
   ✔ **€2,683**

6. Your firm owes €1,122 of VAT this round and files the return late. The late charge is €125. What does the late return cost in total?
   ✔ **€1,247**

7. Cash €150,000, stock at cost €40,000, a loan of €25,000 and unpaid VAT of €1,200. What is the net position?
   ✔ **€163,800**

8. Your cash went up by €10,400 when a customer paid for a car that cost €8,400. How much of that cash is not really yours to spend?
   ✔ **The VAT on the margin, €374, which is owed to Revenue**

9. You sell two scooters to customers: one bought for €2,100 and sold for €2,600, one bought for €2,400 and sold for €2,700. How much VAT do the two sales leave?
   ✔ **€149**

10. The VAT return opens in the final 90 seconds of the round. Your firm has €2,600 of VAT to pay and €1,900 in cash. What happens if you file now?
    ✔ **The return cannot be paid in full; the firm needs €700 more cash before it files**